

Online Store Revenue Drop Case Study

Business Problem

The online store has reported an 18% decrease in revenue. The objective is to identify the reasons behind the decline and recommend actions to improve business performance.

Requirement Gathering Questions

- When did the revenue decline start?
- Which products or categories are affected the most?
- Has website traffic changed recently?
- Has the conversion rate decreased?
- Were there any pricing or promotional changes?
- Have competitors launched new offers or products?

Data Sources Needed

- Sales transaction data
- Website traffic data
- Customer data
- Marketing campaign data
- Product inventory data
- Competitor and pricing information

Analysis Plan

1. Compare current revenue with previous periods.
2. Analyze sales by product, category, and region.
3. Check website traffic and conversion trends.
4. Evaluate customer purchasing behavior.
5. Analyze marketing campaign performance.
6. Identify major factors contributing to revenue decline.

Possible Insights

- Fewer customers are visiting the website.
- Conversion rates have decreased.
- Certain product categories are underperforming.
- Customer retention has declined.
- Marketing campaigns are generating lower returns.
- Inventory shortages are affecting sales.

Recommendations

- Improve marketing strategies and targeting.
- Offer discounts and promotional campaigns.
- Optimize website user experience.
- Focus on high-performing products.
- Improve inventory management.
- Launch customer retention and loyalty programs.